

Money Laundering Prevention Act, 2064

Including Amendments up to 2082

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Date of Authentication
28th Jan 2008
(14th Magh 2064)

1st Amendment
1st June 2011
(18th Jestha 2068)

2nd Amendment
26th March 2014
(12th Chaitra 2070)

3rd Amendment
1st May 2026
(18th Baisakh 2082)

IN THIS PPT...

01 Introduction of Money Laundering Prevention Act & Key Amendments

02 List of Sections with Chapters

03 Section Wise Coverage along with amendments

MONEY LAUNDERING PREVENTION ACT, 2064

(ASSET LAUNDERING PREVENTION ACT, 2008)

ENACTED TO PREVENT AND CONTROL:

- Money Laundering (ML)
- Terrorist Financing (TF)
- Financing of Weapons of Mass Destruction (WMD)

ESTABLISHES:

- Customer Due Diligence (CDD) obligations
- Reporting requirements for suspicious transactions
- Powers for investigation, freezing, seizure, and confiscation
- Regulatory and supervisory framework

APPLIES TO:

- Banks and Financial Institutions
- Insurance Companies
- Cooperatives
- Securities and Commodities Market Participants
- Casinos, Real Estate, Precious Metals/Stones Businesses
- Other Reporting Entities

KEY INSTITUTIONS UNDER THE ACT:

- Financial Information Unit (FIU)
- Department of Money Laundering Investigation (DMLI)
- Regulators
- National Coordination Committee

OBJECTIVE: To safeguard Nepal's financial system from misuse for illegal activities and strengthen compliance with international AML/CFT standards.

KEY AMENDMENTS – MONEY LAUNDERING PREVENTION ACT, 2064

- **Expanded scope of predicate offences** linked to ML, including tax evasion, smuggling, insider trading, market manipulation, banking, foreign exchange, and insurance offences.
- Cases investigated by the Department to be prosecuted through **Government Attorney Offices designated by the Government of Nepal.**
- ML cases investigated by the Department to be filed in the **Special Court.**
- Department empowered to **recommend prosecution of related predicate offences** even if no separate case has been filed earlier.

Red highlighted text with red star indicates amendments as per Third Amendment brought through Ordinance dated 18th Baisakh 2082.

Chapters & Sections

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		2	Definitions
2	Offence Relating To Money Laundering and Terrorist Financing	3	Asset not to Be Laundered
		4	Prohibits Any Act of Terrorist Financing
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3	Provision On Customer Identification And Transactions	6	Not to Do Business Under an Anonymous or Fictitious Name
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		7E	Identification of the Customer Due Diligence (CDD)
		7F	Simplified Customer Identification System
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		7H	Time Frame for the Identification of the Customers
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Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
3	Provision On Customer Identification And Transactions (contd..)	7K	New Technology or Non-Face to Face Customer or Transactions
		7L	Liability For Wire Transfers
		7M	Provision on Cross-Border Correspondent Banking
		7N	Special Monitoring of Certain Transactions
		7O	Not Conduct Transaction
		7P	Responsibilities of Reporting Entity
		7Q	Liability of Branch Office or Subsidiary Company
		7R	Record Keeping
		7S	Obligation of Reporting Suspicious Transactions
3A	Regulation and Supervision of Reporting Entities	7T	Regulation and Supervision of Indicative Institutions
		7U	Functions, Responsibilities and Powers of the Regulator
		7V	Regulatory Actions and Sanctions against a Reporting Entity
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Chapters & Sections

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		9	Financial Information Unit
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		10A	Providing Transaction Information
		10B	Maintaining Confidentiality of Information
5	Structure of Department and Its Functions, Responsibilities and Powers	11	Establishment of the Department
		12	Exchange of Cooperation Regarding Investigation
6	Provisions on Investigation and Inquiry	13	Complaint
		14	Preliminary Inquiry or Investigation
		14A	Send in Writing of Form a Ream to Investigate Related Crimes
		15	Appointment or Designation of Investigation Officer
		15A	An Investigation May Conducted Pursuant This Act
		16	Function, Duties and Powers of the Investigation Officer
		17	Keeping Under Custody For Investigation
		18	Order for Freezing Assets
		19	Request to the Concerned Country

Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
6	Provisions on Investigation and Inquiry (Contd..)	19A	Regular monitoring of the Transaction
		19B	Seizing Passport or Travel Document
		19C	A Special Research Method Used
		20	Keeping It Safe
		21	Co-operation of the Relevant Bodies
		22	Filing of Case
		23	Limitation
		24	Prosecuted by Government
		25	Non-Obstruction of the Case the Prevailing Law
		26	Breach of Privacy
		27	Automatic Suspension
		28	Source of the Property to be Proved
		29	No Obstacle to Prosecute
6A	Currency and Bearer Negotiable Instruments	29A	Declaration and Enquiry of Currency and Bearer Negotiable Instruments
		29B	Enquiry, Seizure and Punishment
		29C	Providing Information
		29D	Consumption of Goods in Accordance with the Customs Act

Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
6B	Freezing of Property and Funds	29E	Information of Terrorist, Terrorist Group or Terrorist Organisation
		29F	Enlisting as a Terrorist, Terrorist Group or Terrorist Organisation
		29G	Freezing of Properties and Funds
		29H	Delisting or Defreezing the Properties and Funds
		29I	Requests to Concerned Country
		29J	Monitoring Arrangements
		29K	Punishment for Violations
7	Punishments	30	Punishment for Offence of Money Laundering or Terrorist Financing
		30A	Protect the Interest of Innocent Third Parties
		31	Punishment to the Discloser of Confidentiality
		32	Punishment for Concealing or Destroying Evidences
		33	Punishment for Obstruction
		33A	Punishment for Making Trouble or Harassment
		33B	Not to Investigate or Prosecute Maliciously
		34	Property Related With the Offence of Money Laundering (ML) or Terrorist Financing (TF) to be Confiscated
		34A	Payment of Indemnification
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Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
8	Miscellaneous	35	Assessment of Risk
		35A	Details of Beneficial Owners
		35B	Details of Those Who Control or Receive Financial Benefits
		35C	Keep the Details
		35D	Non-Profit Organization or Regulatory Body
		35E	Submission of Report
		35F	List of Maintenance
		35G	Qualifications of the Controller
		35H	The Examiner is Ineligible
		35I	Duties, Rights and Responsibilities of Supervisor
		36	Property or Instrumentality to Be Released
		37	Not to be Liable for Providing Information
		38	Auction to be Made
		39	Departmental Sanction to the Staff involved in Investigation and Inquiry
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Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
8	Miscellaneous (Contd..)	43	No Obstruction to Adjudication and Settlement Proceedings
		44	Waiver of Penalty
		44A	Information or Particulars not to be Disclosed
		44B	Confidentiality Provision
		44C	Transaction With Financial Institutions or Banking Institutions
		44D	Nominal Expenses may be allowed
		44E	Processing Records by Computer as Evidence
		44F	Information to be Provided to the Ministry of Foreign Affairs
		44G	Creating Standards
		44H	Report to be Submitted
		45	Reward
		46	Rules May be formulated
		47	Released Directory

Schedule – Associated Offences

OFFENCES COVERED UNDER THIS ACT

1 ANY OFFENCE UNDER THE PREVAILING LAW

- (a) Participating in organised criminal groups and illegal or fraudulent racketeering
- (b) Relating to subversive activities, including terrorism
- (c) Relating to any form of human trafficking and transportation
- (d) Any form of sexual exploitation, including child sexual exploitation
- (e) The illicit traffic of narcotic drugs and psychotropic substances
- (f) The illegal transport of arms
- (g) Relating to the illegal transportation of stolen or other goods
- (h) Corruption and bribery
- (i) Relating to fraud
- (j) In relation to credit
- (k) The exchange of money or currency
- (l) The production of counterfeit goods and the illegal copying or piracy of products
- (m) Relating to the environment
- (n) The loss of life and limb
- (o) Abduction, illegal detention or physical confinement
- (p) Theft or robbery
- (q) Taxation (including taxes, duties, and duties)
- (r) Taxes (including direct and indirect taxes)
- (s) Relating to criminal benefits (Extortion)
- (t) Piracy of the sea
- (u) Market manipulation or insider trading
- (v) The preservation of ancient monuments
- (w) The protection of forests, national parks and wildlife
- (x) Relating to money, banking, financial, foreign exchange, certificates of exchange, insurance or co-operative
- (y) Relating to the black market, consumer protection, competition or supply
- (z) Relating to elections
- (aa) The transmission, advertising
- (ab) In relation to transport business, education, health, medicine or foreign employment fraud
- (ac) A company, partnership or association
- (ad) Land, buildings and property
- (ae) In respect of money, property or property
- (af) Citizenship, Immigration or Passport



2 FINANCING OF TERRORIST ACTIVITIES



Section 4 deals with the financing of terrorist activities.

3 OTHER OFFENCE AS PRESCRIBED BY GOVERNMENT

Any other offence as may be prescribed by the Government of Nepal by publishing the information in the *Nepal Gazette*.

4 OFFENCE COMMITTED OUTSIDE NEPAL

If any act which is deemed to be an offence under section (1) (2) or (3) is committed in a foreign country and such act is deemed to be an offence under the law of the country concerned, such offence shall be deemed to be an offence.

These provisions ensure comprehensive coverage of serious offences relating to money laundering, terrorist financing and other related unlawful activities.

Chapter-1 Preliminary

Chapter – 1 Preliminary

- **Section 2(n) Designated non-financial professional or Practitioner**
  - include persons or businesses involved in:
    - ✓ Casinos and internet casinos
    - ✓ Real estate purchase and sale
    - ✓ Vehicle sellers and vehicle financing providers
    - ✓ Dealers in precious metals and precious stones
    - ✓ Legal, accounting, audit, and similar professionals involved in client transactions
    - ✓ Management of client funds, accounts, investments, or legal entities
    - ✓ Trust and company service providers
    - ✓ Company formation, registration, and management services
    - ✓ Trustee, nominee shareholder, or business address services
    - ✓ Any other business designated by the Government of Nepal through Gazette notification.

Chapter-2 Offence Relating To Money Laundering and Terrorist Financing

Chapter – 2 Offence Relating To Money Laundering and Terrorist Financing

- **Section 3 Asset not to Be Laundered**
- **Offence of Money Laundering**
  - ✓ **Converting or transferring proceeds** of crime to conceal illegal origin.
  - ✓ **Concealing or disguising** the source, ownership, movement, or nature of illicit property.
  - ✓ **Acquiring, possessing, or using** property derived from crime.
- **Participation in Money Laundering**
  - ✓ **Conspiring, aiding, abetting, or facilitating** such activities.
  - ✓ **Counseling, attempting, or participating** in money laundering acts.
- Any person involved in the above acts commits the offence of money laundering

- **Section 4 Prohibits Any Act of Terrorist Financing**
- **Terrorist Financing Offence**
  - ✓ Providing or collecting funds/property for terrorist acts, terrorists, terrorist organizations, or foreign terrorist fighters.
  - ✓ Directly or indirectly supporting terrorism through financial or material assistance.
  - ✓ Soliciting, facilitating, encouraging, assisting, or conspiring in terrorist financing activities.
  - ✓ Providing material support or resources for committing terrorist acts.
- **Participation & Support**
  - ✓ Acting as an accomplice in terrorist financing.
  - ✓ Organizing, directing, or promoting others to commit terrorist acts.
  - ✓ Supporting groups involved in terrorism or related criminal activities.

Chapter – 2 Offence Relating To Money Laundering and Terrorist Financing

- **Section 4 Prohibits Any Act of Terrorist Financing**
- **Offence Exists Even If**
  - ✓ Terrorist act does not occur or is not attempted.
  - ✓ Funds are not actually used for terrorism.
  - ✓ Funds are not linked to a specific terrorist act.
  - ✓ Funds are from legitimate or illegitimate sources.
  - ✓ Terrorist act occurs in another country or territory.
  - ✓ Terrorist individuals or organisations are located elsewhere.
  - ✓ Funds are provided for travel, training, planning, or participation in terrorism.
- Any person involved in the above acts commits the offence of terrorist financing.

- **Section 4A Conviction of Crime**
- Compliance/enforcement officers must follow standards under Sections 3, 4, and 5.
- Intentional violation or causing violation of such standards constitutes an offence.

- **Section 5 Offenses committed abroad**
- Terrorist financing is an offence even if the act occurs in a foreign country or territory.
- The act must also be an offence under the law of that foreign state.

Chapter-3 Provision On Customer Identification And Transactions

Chapter – 3 Provision On Customer Identification And Transactions

❖ Section 6 Not to Do Business Under an Anonymous or Fictitious Name

- Reporting Entity is prohibited from establishing or maintaining anonymous (identity hidden) accounts, or accounts in fictitious (false identity) names or transacting in such accounts or cause to do so.

❖ Section 7 Not to Establish or Operate a Shell Bank

- **Establishing or operating** Shell Banks in or through Nepal is prohibited.
- Financial institutions shall **not maintain business relations** with Shell Banks.
- **Transactions** with entities allowing dealings with Shell Banks are **prohibited**.

❖ Section 7A Identifying the Customer

- Reporting Entities must identify and verify customers using reliable documents, data, and information.
- KYC is required during:
  - ✓ Business relationship establishment
  - ✓ Account opening
  - ✓ Threshold transactions
  - ✓ Electronic wire transfers
  - ✓ Suspicion of money laundering or terrorist financing
  - ✓ Dealings with high-risk or politically exposed persons (PEPs)

Chapter – 3 Provision On Customer Identification And Transactions

- **Section 7A Identifying the Customer**
  - **Key Verification Measures**
    - ✓ Obtain customer name, address, DOB, and prescribed documents.
    - ✓ Verify ownership and control structure of legal entities.
    - ✓ Verify authorization when acting on behalf of another person.
    - ✓ Understand purpose and nature of business relationships and transactions.
  - **Exceptions for DNFBPs** (Designated Non-Financial Businesses and Professions) *(Defined u/s 2(n))*
    - ✓ Casinos: Transactions up to NRs 200,000/day exempted.
    - ✓ Precious metal/object businesses: Transactions up to NRs 1,000,000/day exempted.
  - Reporting Entity bears full responsibility for accurate customer identification and verification.

- **Section 7B Special Provision to the Identification of High-Ranking Persons**
  - **Politically Exposed Persons (PEPs)**
    - ✓ Reporting Entities must establish systems to identify PEPs and beneficial owners.
    - ✓ Enhanced measures apply for foreign, international, or high-risk domestic PEPs.
  - **Additional Measures for High-Risk PEPs**
    - ✓ Obtain senior management approval before establishing business relationships.
    - ✓ Obtain approval to continue relationships with existing PEP customers.
    - ✓ Verify source of funds and property.
    - ✓ Conduct ongoing monitoring of transactions and relationships.
    - ✓ Apply Enhanced Customer Due Diligence (CDD).
  - Measures also apply to family members and close associates of high-risk PEPs.

Chapter – 3 Provision On Customer Identification And Transactions

- **Section 7C Identification of Beneficial Ownership**
  - Reporting Entities must identify and verify beneficial owners using reasonable measures.
  - Reporting Entities must determine whether a person is acting on behalf of another person.
  - Identification and verification measures must also apply to representatives acting for customers.

- **Section 7D Provisions for the Risk Assessment and Management**
  - Reporting Entities must identify and assess Money Laundering (ML) and Terrorist Financing (TF) risks.
  - Risk assessment must consider customers, products, services, transactions, and delivery channels.
  - National and regulatory risk assessment findings must also be considered.
  - Risks must be evaluated based on relevant risk factors.
  - **Risk Management Measures**
    - ✓ Maintain records of risk assessment and related information.
    - ✓ Conduct periodic updates of risk assessments.
    - ✓ Provide risk assessment reports to regulators and concerned authorities upon request.
    - ✓ Apply Customer Due Diligence (CDD) and risk mitigation measures based on identified risks.
    - ✓ Regularly monitor implementation of policies and risk management measures.

Chapter – 3 Provision On Customer Identification And Transactions

❖ Section 7E Identification of the Customer Due Diligence (CDD)

- Reporting Entities must apply Enhanced CDD for:
  - ✓ High-risk customers
  - ✓ Complex or unusually large transactions
  - ✓ Transactions with deficient/non-compliant countries
  - ✓ Politically Exposed Persons (PEPs), their family members, and associates
  - ✓ Customers using high-risk products or services
  - ✓ Customers suspected of ML/TF or other offences
  - ✓ Other customers designated by the regulator
- **Additional Measures**
  - ✓ Additional identification measures apply for bulk/high-volume customers.
  - ✓ Other identification arrangements shall be as prescribed by the regulator.

❖ Section 7F Simplified Customer Identification System

- Reporting Entities may apply simplified CDD measures for low-risk customers or transactions.
- Simplified measures shall not apply to high-risk customers or ML/TF-related risks.
- Simplified identification and due diligence procedures shall be as prescribed.

❖ Section 7G Provision for Identification of Existing Customers

- Reporting Entities must review and verify existing customers and business relationships based on risk.
- Verification shall consider customer type, business relationship, products/services, geographical area, and distribution channel risks.
- Time period for identification and verification shall be prescribed by the regulator.

Chapter – 3 Provision On Customer Identification And Transactions

❖ Section 7H Time Frame for the Identification of the Customers

- Customer and beneficial owner identification must be completed before establishing business relationships, opening accounts, or conducting transactions.
- **Delayed verification (within 3 days) is allowed if:**
  - ✓ Verification is completed as soon as practicable,
  - ✓ Immediate verification is impractical, and
  - ✓ ML/TF risks are effectively managed.
- **Immediate Verification Required**
  - ✓ High-risk or high-profile customers, including family members and associates.
  - ✓ Customers involved in suspicious activities or transactions.

❖ Section 7I Continuous Monitoring

- Monitor customer transactions to ensure consistency with customer profile and business activities.
- Verify source of funds where necessary.
- Regularly review and update customer, beneficial owner, and PEP information.
- Monitor cross-border correspondent banking and wire transfers.
- Perform additional functions as prescribed by the regulator or deemed necessary.

❖ Section 7J Identification and Verification by Third Party

- Reporting Entities may rely on third parties for customer identification and verification.
- Third parties must provide required information and documents without delay.
- Reliance is not allowed if the third party:
  - Belongs to a deficient AML/CFT country,
  - Lacks adequate AML/CFT measures, or
  - Is not properly regulated or supervised.
- **Responsibility:** Ultimate responsibility for customer identification and verification remains with the Reporting Entity.

Chapter – 3 Provision On Customer Identification And Transactions

❖ Section 7K New Technology or Non-Face to Face Customer or Transactions

- Reporting Entities must assess ML/TF risks from new technologies, products, business practices, and delivery channels.
- Risk assessment must be completed before launching new products or technologies.
- Adequate risk mitigation measures must be implemented.
- Policies and procedures must address risks relating to non-face-to-face customers and transactions.

❖ Section 7L Liability For Wire Transfers

- Wire Transfer Requirements
- Financial institutions must identify and verify originator and beneficiary details before wire transfers. Required details include:
  - ✓ Name and account/reference number of originator and beneficiary
  - ✓ Address or identification details of originator
  - ✓ Requirements apply to individual and batch wire transfers.
- **Exceptions**
  - ✓ Certain card-based purchase transactions are exempted.
  - ✓ Existing customers may not require re-verification if no ML/TF suspicion exists.
  - ✓ Originator address details may not be required for transfers below NRs 75,000.
- **Obligations of Financial Institutions**
  - ✓ Ensure transfer information accompanies payment throughout the payment chain.
  - ✓ Intermediary and receiving institutions must verify receipt of required information.
  - ✓ Missing information may result in inquiry, suspension, denial, or restriction of transfer.
  - ✓ Beneficiaries receiving NRs 75,000 or more must be identified and verified.
  - ✓ Maintain wire transfer records for at least 5 years.
  - ✓ Freeze transfers linked to prohibited persons or organizations.
- **Risk Management**
  - ✓ Implement risk-based policies, monitoring, and AML/CFT controls for wire transfers.
  - ✓ Monitor agents and publish updated agent information publicly.

Chapter – 3 Provision On Customer Identification And Transactions

❖ Section 7M Provision on Cross-Border Correspondent Banking

- Financial institutions must:
  - ✓ Identify and verify respondent institutions.
  - ✓ Understand the nature and activities of the respondent's business.
  - ✓ Assess reputation, supervision, and AML/CFT compliance history.
  - ✓ Evaluate adequacy of AML/CFT controls and monitoring systems.
  - ✓ Obtain senior management approval before establishing relationships.
  - ✓ Define AML/CFT responsibilities of both parties.
  - ✓ Ensure payable-through accounts are properly monitored and supported by CDD information.
  - ✓ Prohibit relationships with Shell Banks or institutions dealing with Shell Banks.
- **Applicability:** Requirements apply to all cross-border correspondent banking relationships and transactions.

❖ Section 7N Special Monitoring of Certain Transactions

- Reporting Entities must specially monitor:
  - ✓ Complex, unusual large, or suspicious transactions.
  - ✓ Transactions with no apparent economic or lawful purpose.
  - ✓ Transactions involving customers or institutions from non-compliant countries.
  - ✓ Other transactions prescribed by the regulator.

- **Record Keeping**
  - ✓ Background and purpose of such transactions must be examined and documented.
  - ✓ Records must be maintained for at least 5 years and provided to authorities upon request.

Chapter – 3 Provision On Customer Identification And Transactions

❖ Section 7O Not Conduct Transaction

- Reporting Entities shall not establish or continue relationships with customers who:
  - ✓ Fail to provide required identification documents or information, or
  - ✓ Provide inconsistent or suspicious identification details.
- Existing relationships with such customers must be terminated.
- Reporting Entity may inform the Financial Information Unit (FIU) if necessary.

❖ Section 7P Responsibilities of Reporting Entity

- Reporting Entities must **develop and implement risk-based AML/CFT policies and procedures** covering:
  - ✓ Customer Due Diligence (CDD), monitoring, reporting, and record keeping
  - ✓ Ongoing transaction monitoring and suspicious transaction detection
  - ✓ Employee screening and AML/CFT training
  - ✓ Independent compliance review and updates
  - ✓ Risk management and information sharing mechanisms
  - ✓ Compliance with the Act, Rules, and Directives
- **Compliance Officer**
  - ✓ Reporting Entities must appoint a management-level Compliance Officer.
  - ✓ Compliance Officer must have access to records, information, and necessary resources.
- **Review & Technology**
  - ✓ Policies, procedures, and action plans must be reviewed and updated annually or as required.
  - ✓ Customer identification, monitoring, risk assessment, and reporting systems should be implemented through electronic means where applicable.

Chapter – 3 Provision On Customer Identification And Transactions

❖ Section 7Q Liability of Branch Office or Subsidiary Company

- Reporting Entities operating within the same group, including foreign branches or majority-owned subsidiaries, must comply with AML/CFT requirements.
- **Group-wide policies and procedures** must include:
  - ✓ Information sharing on customer due diligence and risk management
  - ✓ Exchange of customer, transaction, audit, and AML/CFT-related information
  - ✓ Measures to protect confidentiality of shared information
- **Foreign Operations**
  - ✓ If foreign laws restrict compliance, the Reporting Entity must inform the regulator and apply additional risk mitigation measures.
  - ✓ Regulators may take action or order closure of foreign branches/subsidiaries if risks are not adequately managed.

❖ Section 7R Record Keeping

- Reporting Entities must maintain customer and transaction records securely for **at least 5 years**, including:
  - ✓ Customer and beneficial owner identification records
  - ✓ Transaction documents and analysis records
  - ✓ Account and business relationship details
  - ✓ Domestic and foreign transaction records
  - ✓ Attempted transaction records
  - ✓ Suspicious transaction reports (STRs)

Chapter – 3 Provision On Customer Identification And Transactions

❖ Section 7R Record Keeping

- Additional Requirements
  - ✓ Some records may be required to be retained for more than 5 years.
  - ✓ Records must be sufficient to reconstruct transactions for legal evidence.
  - ✓ Records must be readily available to competent authorities upon request.
  - ✓ Customer information must be kept confidential except where disclosure is legally required.

❖ Section 7S Obligation of Reporting Suspicious Transactions

- Reporting Entities must report suspicious transactions to the Financial Information Unit (FIU) **within 3 days**, where possible.
- Reporting is required if there is suspicion of:
  - ✓ Money laundering, terrorist financing, or related offences
  - ✓ Financing of weapons of mass destruction
  - ✓ Property linked to terrorism or terrorist organisations
- Attempted suspicious transactions must also be reported.
- Customer information should be updated after filing the suspicious transaction report.
- Reporting format, procedure, and guidance shall be prescribed by the FIU.

Chapter-3A Regulation and Supervision of Reporting Entities

Chapter – 3A Regulation and Supervision of Reporting Entities

❖ Section 7T Regulation and Supervision of Indicative Institutions

- Reporting Entities shall be regulated, supervised, and monitored by their respective Regulators under prevailing laws.
- Government of Nepal may designate a regulatory body through Gazette notification where necessary.
- Regulators shall exercise powers and responsibilities under this Act in addition to those under other prevailing laws.

❖ Section 7U Functions, Responsibilities and Powers of the Regulator

- Regulators are responsible for:
  - ✓ Conducting sectoral and institutional ML/TF risk assessments.
  - ✓ Requiring Reporting Entities to implement risk management measures.
  - ✓ Implementing and enforcing AML/CFT (Combating Financing of Terrorism) laws, rules, directives, and orders.
  - ✓ Conducting on-site inspections, off-site supervision, and monitoring.
  - ✓ Issuing directives, guidelines, and additional compliance measures.
  - ✓ Monitoring Enhanced Due Diligence (EDD) for high-risk countries and customers.
  - ✓ Requiring access to records, documents, and information.
  - ✓ Assisting investigations and monitoring suspicious transaction reporting systems.
  - ✓ Reporting suspicious activities to the Financial Information Unit (FIU).Providing AML/CFT training to Reporting Entities.
  - ✓ Publishing information relating to international AML/CFT compliance classifications.
- **International Cooperation**
  - ✓ Regulators may cooperate and exchange supervisory information with domestic and foreign regulators.
  - ✓ Cooperation may include AML/CFT supervision, regulation, and information sharing arrangements.

Chapter – 3A Regulation and Supervision of Reporting Entities

❖ Section 7V Regulatory Actions and Sanctions against a Reporting Entity

- Regulators may take action against Reporting Entities for non-compliance, including:
  - ✓ Written warnings or reprimands
  - ✓ Monetary fines

TYPE OF REPORTING ENTITY	MIN FINE	MAX FINE
 Financial Institutions & Casino Operators	 10 Lakhs	 5 Crores
 Other Reporting Entities	 1 Lakh	 1 Crore

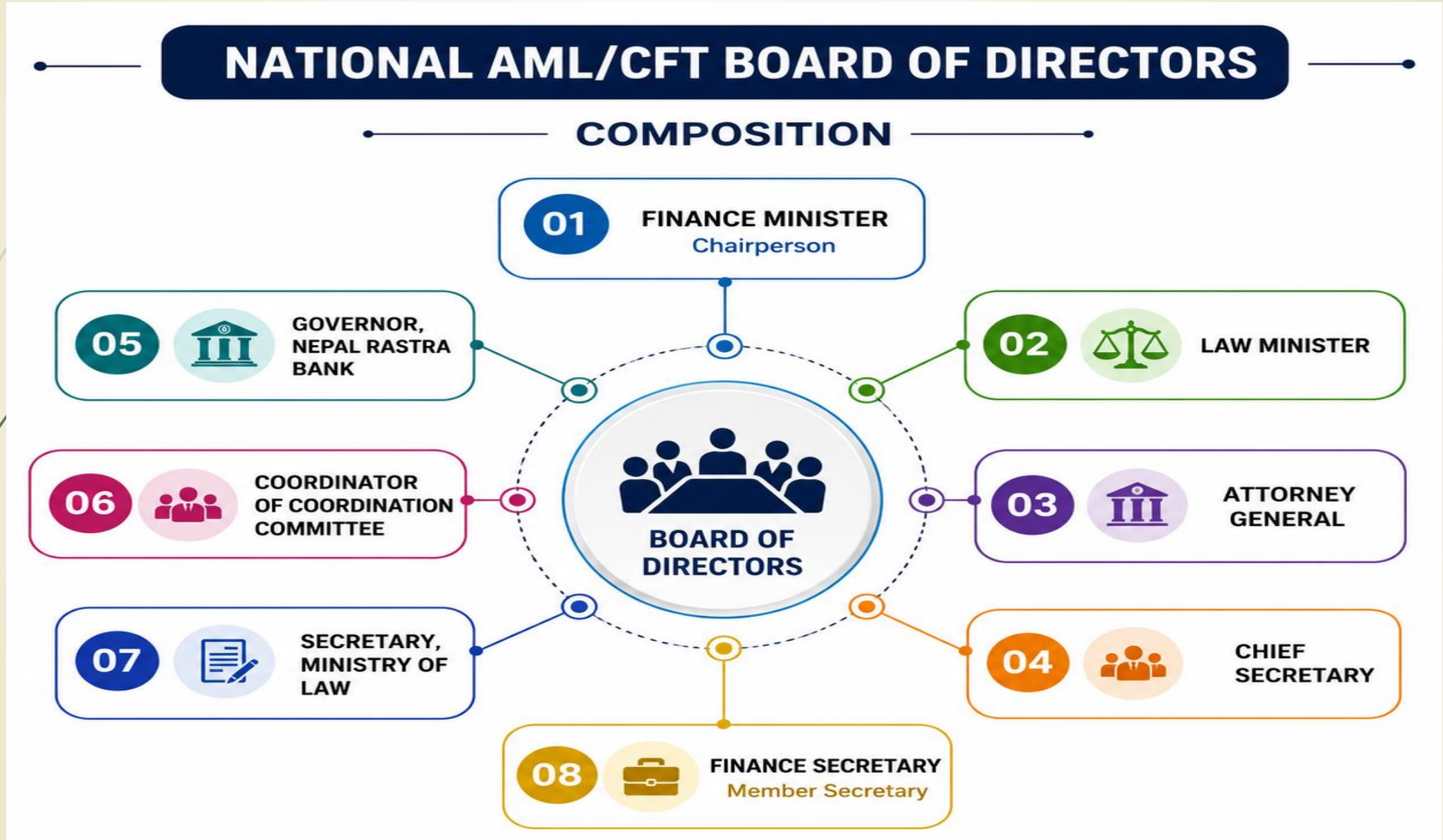
  - ✓ Restrictions on business, profession, or transactions
  - ✓ Suspension of license, registration, or permission
  - ✓ Revocation or cancellation of license or registration

- **Additional Provisions**
  - ✓ Higher penalties may apply for repeated violations.
  - ✓ Reporting Entities must take action against responsible staff or officials.
  - ✓ Regulators may directly act against officials if the entity fails to do so.
  - ✓ Opportunity for clarification must be provided before sanctions are imposed. (OOBH)
  - ✓ Reporting Entities may **appeal to the High Court within 35 days**.

Chapter-3B Committee of Directors and Coordinating Committee

Chapter – 3B Committee of Directors and Coordinating Committee

❖ Section 7W Board of Directors



Chapter – 3B Committee of Directors and Coordinating Committee

❖ Section 7W Board of Directors

- **Key Functions**
  - ✓ Review and recommend national AML/CFT policies and programs.
  - ✓ Monitor implementation of AML/CFT and counter-proliferation financing measures.
  - ✓ Coordinate federal, provincial, and local level AML/CFT activities.
  - ✓ Issue necessary directions to concerned bodies.
  - ✓ Approve National Risk Assessment reports.
  - ✓ Submit annual progress reports to the Government of Nepal.
- **Meetings:** Board meetings shall be held once every three months.

❖ Section 7X National Coordination Committee

- **Functions of the National Coordination Committee**
  - ✓ Prepare national AML/CFT and counter-proliferation financing policies and submit them to the Board of Directors.
  - ✓ Submit integrated regional and national risk assessment reports.
  - ✓ Ensure implementation and monitoring of risk-based action plans.
  - ✓ Maintain coordination among concerned bodies and institutions.
  - ✓ Issue guidance on protection, confidentiality, and use of information.
  - ✓ Recommend studies, investigations, and control measures related to financial crimes.
  - ✓ Perform other coordination-related functions as required.

Chapter – 3B Committee of Directors and Coordinating Committee

❖ Section 7X National Coordination Committee



Chapter – 3B Committee of Directors and Coordinating Committee

❖ Section 7X National Coordination Committee

(f)	**Secretary** Ministry of Land Management, Cooperatives and Poverty Alleviation	MEMBER
(g)	**Secretary** Commission for the Investigation of Abuse of Authority	MEMBER
(h)	**Deputy Attorney General** Office of Attorney General	MEMBER
(i)	**Deputy Governor** Nepal Rastra Bank	MEMBER
(j)	**Inspector General of Police** Nepal Police	MEMBER
(k)	**Chief** Department of Money Laundering Investigation	MEMBER
(l)	**Chief** The Financial Information Unit	MEMBER-SECRETARY

Chapter-4 Financial Information Unit

Chapter – 4 Financial Information Unit

❖ Section 9 Financial Information Unit

- FIU shall be established within Nepal Rastra Bank as an autonomous and functionally independent department to receive, analyze, and disseminate STRs and other ML/TF-related information.
- The Governor, in consultation with the Coordinating Committee, shall appoint the Head of FIU from among at least first-class officers of Nepal Rastra Bank.
- The Head shall be accountable to the Coordinating Committee.
- FIU office shall remain within Kathmandu Valley and may establish branch offices with Government approval.
- FIU shall operate under its official seal and approved organizational structure.
- FIU may include employees from regulatory, investigative, and other government bodies as required.
- Employee remuneration and benefits shall be governed by applicable laws.
- Head of FIU may provide written performance evaluations of deputed employees to concerned authorities.
- Nepal Rastra Bank shall provide the required budget, resources, and infrastructure for FIU operations.
- Staff qualification, recruitment, accountability, incentives, and management shall be as prescribed.
- Other operational arrangements of FIU shall be determined by the Board of Directors.

❖ Section 10 Function, Responsibilities and Powers of Financial Information Unit

- **Core Functions**
  - ✓ Receive Threshold Transaction Reports (TTRs).
  - ✓ Receive Suspicious Transaction Reports (STRs).
  - ✓ Receive currency and cross-border transaction reports.
  - ✓ Receive other relevant information under the Act.
  - ✓ Analyse suspicious transactions and related information.
  - ✓ Disseminate analysis and intelligence to investigation agencies where ML/TF or other offences are suspected.

Chapter – 4 Financial Information Unit

- **Section 10 Function, Responsibilities and Powers of Financial Information Unit**
- **Guidance & Coordination**
  - ✓ Provide AML/CFT training to regulators, reporting entities, and government agencies.
  - ✓ Provide feedback and guidance on suspicious transaction detection and reporting.
  - ✓ Prepare annual reports on ML/TF typologies, trends, techniques, and methods.
  - ✓ Assist regulators in supervision and monitoring of Reporting Entities.
- **International Cooperation**
  - ✓ Enter into MOUs with foreign FIUs for information exchange.
  - ✓ Exchange information and cooperate with foreign counterparts on reciprocity basis.
  - ✓ Maintain confidentiality and comply with conditions attached to shared information.
- **Information Gathering Powers:** FIU may:
  - ✓ Request additional documents, records, and information from Reporting Entities.
  - ✓ Obtain administrative, financial, law enforcement, or commercial database information from concerned agencies.
- **Penalties & Appeals**
  - ✓ FIU may impose **fines up to NRs 1 Crore** for:
    - Failure to report suspicious transactions,
    - Non-compliance with FIU orders,
    - Failure to provide requested information/documents, or
    - Breach of confidentiality requirements.
  - ✓ Reasonable opportunity for explanation must be provided before imposing penalties. (OOBH)
  - ✓ FIU must **inform** the regulator about imposed penalties **within 7 days**.
  - ✓ **Appeals** may be filed in the High Court **within 35 days**.

Chapter – 4 Financial Information Unit

❖ Section 10A Providing Transaction Information

- Reporting Entities and prescribed Government bodies (Including Customs/ Freight office, OCR) must report transactions exceeding the prescribed threshold to the Financial Information Unit (FIU).
- Reporting applies to single or repeated transactions within the period set by Nepal Rastra Bank.
- Reports must be submitted **within 15 days** from the transaction date.
- Format, method, and procedure shall be prescribed by the FIU.

❖ Section 10B Maintaining Confidentiality of Information

- Threshold Transaction Reports (TTRs), Suspicious Transaction Reports (STRs), and FIU analysis results are confidential and may be used for criminal investigations subject to applicable conditions.
- FIU personnel must maintain confidentiality of information even after leaving office, except where disclosure is permitted by law or court order.
- FIU shall establish secure systems and procedures for information management, analysis, dissemination, exchange, and access control.
- FIU may issue directives regarding reporting format, method, timelines, and procedures.
- Such directives shall be published on the FIU website.

Chapter-5 Structure of Department and Its Functions, Responsibilities and Powers

Chapter – 5 Structure of Department and Its Functions, Responsibilities and Powers

❖ Section 11 Establishment of the Department

- An Asset Laundering Investigation Department shall be established to investigate offences under this Act.
- Head of the Department must be at least a first-class civil service officer.
- Organisational structure and staffing shall be prescribed by the Government of Nepal.
- Government of Nepal may provide specialists from concerned agencies or public institutions as required.

❖ Section 12 Exchange of Cooperation Regarding Investigation

- Department may exchange investigation information with foreign counterpart agencies on a reciprocal basis.
- Joint investigations on money laundering and terrorist financing may be conducted with foreign counterparts where necessary.
- Mutual arrangements may be developed to define procedures, terms, and conditions for cooperation and information exchange.
- Confidentiality and privacy protection provisions shall apply to information received from foreign counterparts.
- Other arrangements for international investigation cooperation shall be as prescribed.

Chapter-6 Provisions on Investigation and Inquiry

Chapter – 6 Provisions on Investigation and Inquiry

Predicate offences – Original crime that generates illegal money/ assets.

❖ Section 13 Complaint

- Any person may submit written or oral complaints, information, or notices regarding ML/TF or predicate offences.
- **Jurisdiction**
  - ✓ Terrorist financing or WMD (Weapons of mass destruction) financing cases → Police Office
  - ✓ Predicate offence-related money laundering → Relevant investigation authority
  - ✓ Other money laundering matters → Department
- **Registration & Forwarding**
  - ✓ Complaints received by the wrong authority must be registered and immediately forwarded to the concerned authority.
  - ✓ Written and oral complaints must be officially registered.
  - ✓ Information known by Department staff may also be officially registered as a complaint.
- **Confidentiality**
  - ✓ Anonymous/confidential complaints may be registered using a code instead of the complainant's name.
  - ✓ Name and address of complainants requesting confidentiality must be protected.

Offences to be reported

- ✓ Smuggling offences (including customs, excise, and tax evasion)
- ✓ Tax-related offences (direct and indirect taxes)
- ✓ Securities or commodities market manipulation
- ✓ Insider trading
- ✓ Currency, banking, and financial offences
- ✓ Foreign exchange offences
- ✓ Negotiable instruments-related offences
- ✓ Insurance-related offences

❖ Section 14 Preliminary Inquiry or Investigation

- Chief shall conduct or arrange a preliminary inquiry upon receiving:
  - ✓ A complaint under Section 13, or
  - ✓ Information/analysis from the Financial Information Unit (FIU).
- Chief may assign a subordinate officer to conduct the inquiry based on the nature of the matter.
- Officers conducting the preliminary inquiry may exercise powers available to investigation officers under the Act.

Chapter – 6 Provisions on Investigation and Inquiry

❖ Section 14A Send in Writing of Form a Ream to Investigate Related Crimes

➢ **Investigation of Related Offences**

- ✓ During investigation of money laundering cases, the Department shall also examine whether related predicate offences exist.
- ✓ If a related offence is identified, the matter shall be forwarded in writing to the concerned investigation authority.

➢ **Joint Investigation Team (JIT):** A Joint Investigation Team may be formed where:

- ✓ Multiple related offences are involved,
- ✓ The case is serious or complex, or
- ✓ Investigation requires coordination among multiple agencies.

➢ JIT members may exercise all powers of an Investigating Officer under the Act.

➢ **Investigation Reports**

- ➢ JIT shall prepare an integrated investigation report and forward it to the concerned authority for prosecution.
- ➢ Concerned investigation bodies shall submit investigation reports to the relevant public prosecutor after completion of investigation.

❖ Section 15 Appointment or Designation of Investigation Officer

➢ **Coordination During Investigation**

- ✓ Investigating officers must immediately inform the Department if money laundering is detected during investigation of a predicate offence.
- ✓ Constitutional bodies investigating offences under prevailing law are exempt where they already investigate ML matters under this Act.

Chapter – 6 Provisions on Investigation and Inquiry

❖ Section 15 Appointment or Designation of Investigation Officer

- **Department Actions**: **Within 15 days** of receiving information, the Department may:
  - ✓ Form a Joint Investigation Team (JIT)
  - ✓ Coordinate with the concerned investigating officer
  - ✓ Appoint a Department investigating officer
  - ✓ Provide guidance to strengthen ML investigation

- **Investigation Reports**
  - ✓ JIT shall prepare an integrated investigation report as prescribed under Section 14A.
  - ✓ Concerned investigation bodies shall be informed about formation of the JIT.

- **Investigation Timeline**
  - ✓ Investigation of money laundering offences should generally be completed **within 1 year from commencement of investigation**, except in cases involving international cooperation or serious associated offences.

❖ Section 15A: An Investigation May Conducted Pursuant This Act

- Investigating officers may use the powers and procedures under this Act while investigating money laundering and related offences, even if other laws provide different procedures.

❖ Section 16: Function, Duties and Powers of the Investigation Officer

- Investigation Officers may:
  - ✓ Request documents, records, information, and statements from government bodies, regulators, Reporting Entities, and related persons.
  - ✓ Search places and seize documents, evidence, property, or instruments linked to ML/TF offences.
  - ✓ Arrest or detain persons suspected of absconding, hiding evidence, or obstructing investigation.

Chapter – 6 Provisions on Investigation and Inquiry

❖ Section 16: Function, Duties and Powers of the Investigation Officer

- Investigation Officers may:
  - ✓ Require persons to provide statements or additional information.
  - ✓ Release persons on written undertaking or bail, or detain them with court approval if necessary.
  - ✓ Trace, identify, and evaluate assets for freezing or seizure.
  - ✓ Coordinate with the Financial Information Unit (FIU) for foreign intelligence information.
  - ✓ Perform other functions prescribed by law.
- **Penalties**
  - ✓ Non-compliance with investigation orders may result in fines up to **NRs 5 lakh**.
  - ✓ Failure to comply with property freezing orders may also lead to ML/TF investigation and prosecution.

❖ Section 17: Keeping Under Custody For Investigation

- **Arrest & Detention Procedures**
  - ✓ A detention warrant must be issued before detaining a person suspected of ML/TF offences.
  - ✓ Arrested persons must be presented before the adjudicating authority **within 24 hours (excluding travel time)**.
  - ✓ Further detention requires approval from the adjudicating authority.
- **Remand Process**
  - ✓ Investigation officers must provide:
    - ❖ Charges and grounds of suspicion
    - ❖ Details of statements, if any
    - ❖ Reasons for continued detention

    Keeping in custody
  - ✓ The adjudicating authority may grant **remand** for investigation **up to 90 days, not exceeding 30 days at a time**.
  - ✓ The detained person may submit reasons against further detention.
- **Reporting Requirement**
  - ✓ Investigation officers must inform the Chief before arrest, detention, or remand extension requests.
  - ✓ In urgent arrests, the Chief must be informed as soon as possible afterward.

Chapter – 6 Provisions on Investigation and Inquiry

- **Section 18: Order for Freezing Assets**
- **Investigation Officers may freeze or seize:**
  - ✓ Laundered property
  - ✓ Property or instruments used in ML/TF offences
  - ✓ Terrorist financing-related property
  - ✓ Assets intended for terrorist acts, terrorist groups, or organisations
- **Key Powers**
  - ✓ Freeze/seize property regardless of ownership or possession.
  - ✓ Freeze property of equivalent value if original assets cannot be traced.
  - ✓ Order immediate freezing without prior notice.
  - ✓ Freeze property of suspects who fail to appear before investigators.
- **Obligations of Institutions**
  - ✓ Concerned agencies/institutions must immediately comply with freezing orders.
  - ✓ Frozen assets cannot be transferred, sold, mortgaged, or used.
- **Safeguards & Timelines**
  - ✓ Court permission is required if property remains frozen for more than 1 year.
  - ✓ Notice of freezing/seizure must be given within 3 days.
  - ✓ Investigation Officer must report freezing/seizure to the court within 7 days.
- **Right to Complaint:** A person may apply to the court for release of property if:
  - ✓ They are not involved in ML/TF offences,
  - ✓ The property is not linked to ML/TF, and
  - ✓ The property is not connected to any other offence.

Chapter – 6 Provisions on Investigation and Inquiry

❖ Section 19: Request to the Concerned Country

- If ML/TF-related property or instruments are located abroad, Department may request the concerned foreign country to freeze or take control of such assets.
- The request shall include available details such as:
  - ✓ Location of the person,
  - ✓ Details of property or instruments, and
  - ✓ Bank or financial institution information, if available.

❖ Section 19A: Regular monitoring of the Transaction

- Investigation Officers may issue a monitoring order to Reporting Entities to monitor transactions of persons under ML/TF investigation.
- Monitoring orders generally remain valid for up to 3 months.
- Reporting Entities must continuously monitor transactions and submit reports to the Department as directed.

❖ Section 19B: Seizing Passport or Travel Document

- Investigation Officers may order authorities to hold or restrict the passport/travel documents of persons accused of ML/TF offences.
- Concerned authorities must:
  - ✓ Stop issuing new passports/travel documents, or
  - ✓ Withhold existing passports/travel documents of such persons.

Chapter – 6 Provisions on Investigation and Inquiry

❖ Section 19C: A Special Research Method Used

- **Special Investigation Techniques**
- Investigation Officers may use special investigation methods in WMD/TF-related cases under supervision of a Gazetted Second Class Officer or above, including:
  - ✓ Controlled delivery operations
  - ✓ Security/surveillance operations
  - ✓ Undercover investigations
  - ✓ Interception of phone or communication records
  - ✓ Delayed arrest to gather more evidence
  - ✓ Access to computer systems or electronic devices
  - ✓ Other prescribed special investigation methods

- **Court Approval Required**: Prior court permission is mandatory for:
  - ✓ Communication interception
  - ✓ Access to computer/electronic systems

- **Confidentiality**: Information obtained through special investigations can only be used for investigation and prosecution of the same offence.

❖ Section 20: Keeping It Safe

- During ML/TF investigations, Investigation Officer must safely preserve and manage all seized or controlled property, assets, and instruments in accordance with the law.

Chapter – 6 Provisions on Investigation and Inquiry

❖ Section 21: Co-operation of the Relevant Bodies

- Investigating Offices may request assistance from government bodies or public institutions during ML/TF investigations.
- Such bodies/institutions are legally required to provide assistance when requested.
- The Department may seek support from Nepal Police, and police officials must cooperate.
- Expert assistance may also be requested for complex investigations, and concerned institutions must provide such experts when required.

❖ Section 22: Filing of Case

- After completing the investigation, the Investigation Officer prepares an investigation report and submits it to the Government Attorney's Office.
- If sufficient evidence exists, the Public Prosecutor files the case in the competent court Special Court.
- Cases may be filed against:
  - ✓ Legal entities/organizations, and
  - ✓ Individuals responsible for committing or facilitating the offence.
- Punishment and confiscation may be sought against both.
- Pending complaints or information may also be investigated and prosecuted under this Act.

❖ Section 23: Limitation

- There is **no time limit for filing cases** related to Money Laundering (ML) or Terrorism Financing (TF).

❖ Section 24: Prosecuted by Government

- Government of Nepal shall act as the plaintiff in cases related to Money Laundering (ML) and Terrorism Financing (TF).

Chapter – 6 Provisions on Investigation and Inquiry

❖ Section 25: Non-Obstruction of the Case the Prevailing Law

- If an act qualifies as money laundering or financing terrorism and is punishable under other applicable laws, the case may be filed and prosecuted under those relevant laws.

❖ Section 26: Breach of Privacy

- Investigators and related personnel must keep all information and documents obtained during an investigation strictly confidential, unless disclosure is required by applicable law.

❖ Section 27: Automatic Suspension

- A person working in an organized institution or as a civil servant is automatically suspended during any period of detention under this Act, or until the case under Section 22 is resolved.

❖ Section 28: Source of the Property to be Proved

- **Investigation of Abnormal Property:** If a person's property, lifestyle, donations, gifts, or expenses appear excessive compared to their legal income or economic status, the Department can ask them to explain the source of such property.
- **Burden to Prove Source:** A person investigated for money laundering or terrorist financing must prove the lawful source of their assets and wealth.
- **Failure to Explain:** If the person cannot disclose a valid source:
  - ✓ the unexplained property may be confiscated,
  - ✓ and legal action may be taken.

Chapter – 6 Provisions on Investigation and Inquiry

❖ Section 28: Source of the Property to be Proved

- **Case Filing:** If the person is found involved in an offence and possesses property beyond lawful income or beyond proceeds of crime:
  - ✓ a case shall be filed,
  - ✓ punishment and confiscation may be demanded,
  - ✓ and additional unexplained assets may also be confiscated.
- **Referral to Inland Revenue Department:** If the source of property is not disclosed, details are sent to the Inland Revenue Department for tax assessment and recovery.
- **Tax Treatment:** If no lawful source is proven, the unexplained property is treated as taxable income for the current income year and taxed at the highest applicable rate.
- **Publication & Information Sharing:** The name and details of the person taxed may be published on the Department's website and shared with:
  - ✓ the Department,
  - ✓ and the Financial Information Unit (FIU).
- **Guidelines for Prevention:** The Inland Revenue Department must prepare and implement guidelines to prevent:
  - ✓ financing of terrorism,
  - ✓ financing of weapons of mass destruction,
  - ✓ and illegal financial investments during tax assessments and inspections.

❖ Section 29: No Obstacle to Prosecute

- A person can still be prosecuted for money laundering even if the main/original offence case is absent, incomplete, or unsuccessful, **as long as sufficient evidence of money laundering exists**.
- Even if no separate case has been filed for a related predicate offence, the Department may still recommend prosecution for that related offence during ML investigation.

Chapter-6A Currency and Bearer Negotiable Instruments

Chapter – 6A Currency and Bearer Negotiable Instruments

❖ Section 29A: Declaration and Enquiry of Currency and Bearer Negotiable Instruments

- Any person entering or leaving Nepal carrying currency or bearer negotiable instruments (BNI), or sending/receiving them through cargo, courier, postal service, or similar means, must make a written declaration if the amount equals or exceeds the limit prescribed by Nepal Rastra Bank.
- Currency or BNI carried personally must be declared before customs, while items sent through cargo, courier, or post must be declared before the concerned agency.
- Cargo, courier, or postal operators must submit declared details to customs in the prescribed format.
- If customs suspects the declaration is false or incorrect, it may inspect the currency, cargo, parcel, or package.
- Other procedures regarding currency and BNI shall be as prescribed.

❖ Section 29B: Entry, Seizure & Punishment

- A customs officer may inquire about the source and purpose of currency or bearer negotiable instruments (BNI) being brought into or taken out of Nepal if:
  - ✓ there is suspicion of non-declaration or false declaration, or
  - ✓ there are reasonable grounds to suspect connection with an offence.
- If it is proved that the currency or BNI was not declared, falsely declared, or connected with an offence, the customs officer may seize it, and the concerned person may be fined according to law.
- At the time of seizure, the customs officer must inform the concerned person of the reason for the seizure.

❖ Section 29C: Providing Information

- The customs officer must immediately inform the Financial Information Unit (FIU) and the concerned investigating authority about any suspicious currency or bearer negotiable instruments seized under Section 29B.
- Customs Department must send monthly details of currency and bearer negotiable instruments declared under Section 29A to the Financial Information Unit.

Chapter – 6A Currency and Bearer Negotiable Instruments

- **Section 29D: Consumption of Goods in Accordance with the Customs Act**
  - For the purpose of this Act, currency and bearer negotiable instruments (BNI) shall be treated as “goods” under the prevailing Customs laws.
  - Matters relating to declaration, inquiry, search, seizure, confiscation, action, and appeal regarding currency or BNI shall be governed by the prevailing Customs laws.

Chapter-6B Freezing of Property and Funds

Chapter – 6B Freezing of Property and Funds

❖ Section 29E: Information of Terrorist, Terrorist Group or Terrorist Organisation

- The Ministry of Foreign Affairs must promptly publish on its website the UN Security Council designated list of:
  - ✓ terrorists,
  - ✓ terrorist groups or organizations, and
  - ✓ persons involved in proliferation of weapons of mass destruction,

  and electronically send the list to the Ministry of Home Affairs.
- Based on that list, the Ministry of Home Affairs must immediately issue freezing orders against the properties or funds of such persons, groups, or organizations.
- The Ministry of Home Affairs must immediately publish the freezing orders on its website.
- The Office of the Prime Minister and Council of Ministers, regulatory bodies, FIU, investigating agencies, legal entities, and individuals must regularly update and monitor the published lists for compliance purposes.

❖ Section 29F: Enlisting as a Terrorist, Terrorist Group or Terrorist Organisation

- If a foreign country requests Nepal to freeze the property or funds of persons, groups, or organizations suspected of terrorism or terrorist financing, the Ministry of Foreign Affairs must immediately forward the request to the Ministry of Home Affairs.
- The Ministry of Home Affairs may investigate any Nepali, foreign citizen, person, group, or organization suspected of:
  - ✓ terrorist financing, or
  - ✓ financing the manufacture and proliferation of weapons of mass destruction,

    whether inside or outside Nepal.
- If such involvement is established, the Government of Nepal may:
  - ✓ include the person, group, or organization in the designated list, and
  - ✓ order freezing of their property or funds.
- The Government may remove names from the list if there is no longer sufficient basis to keep them listed.
- Any removal from the list must be immediately published on the Ministry of Home Affairs website.

Chapter – 6B Freezing of Property and Funds

❖ Section 29G: Freezing of Properties and Funds

- Natural persons, legal entities, agencies, and reporting entities must immediately and without prior notice freeze the property or funds of persons, groups, or organizations listed under Sections 29E and 29F, including those involved in terrorist financing or financing the proliferation of weapons of mass destruction.
- The freezing applies to:
  - ✓ all directly or indirectly owned or controlled property/funds,
  - ✓ income or assets generated from such property/funds, and
  - ✓ property/funds of persons or entities acting on their behalf or direction.
- Frozen property or funds cannot be transferred, sold, mortgaged, distributed, or otherwise used except as permitted under the Act.
- Necessary measures must be taken to ensure that frozen assets or benefits are not directly or indirectly made available to designated persons or organizations.
- Natural/legal persons and agencies must report freezing actions to the Ministry of Finance, and reporting entities must report to the regulator within 3 days.
- Regulators must forward freezing details to the Ministry of Finance within 3 days of receiving them.
- Records, management, and preservation of frozen assets shall be handled by the Defective Assets Management Department.
- Other procedures regarding freezing of property or funds shall be as prescribed.

Chapter – 6B Freezing of Property and Funds

❖ Section 29H: Delisting or Defreezing the Properties and Funds

- Any person, group, or organization listed under Sections 29E or 29F, or affected by freezing orders under Section 29G, may apply for review:
  - ✓ to the Ministry of Foreign Affairs for Section 29E listings, or
  - ✓ to the Ministry of Home Affairs for Section 29F listings.
- Upon receiving the application:
  - ✓ Ministry of Foreign Affairs may forward Section 29E matters to the United Nations, and
  - ✓ Ministry of Home Affairs may forward Section 29F matters to the concerned foreign country through the Ministry of Foreign Affairs.
- If the Ministry of Home Affairs finds no valid ground to keep a person, group, or organization listed under Section 29F, it may:
  - ✓ remove the name from the list, and
  - ✓ order defreezing of the frozen property or funds.
- In cases where the Government of Nepal itself has listed the person/group under Section 29F, the Ministry of Home Affairs may:
  - ✓ remove the name from the list,
  - ✓ release frozen property/funds, or
  - ✓ confiscate the property/funds after investigation, as appropriate.
- Government shall ensure effective implementation of UN Security Council decisions regarding:
  - ✓ listing and delisting,
  - ✓ freezing and confiscation of property/funds,
  - ✓ protection of innocent third-party rights, and
  - ✓ allowing minimum expenses for maintenance of frozen property/funds as prescribed by law.

Chapter – 6B Freezing of Property and Funds

❖ Section 29I: Requests to Concerned Country

- If the Ministry of Home Affairs believes that the property or funds of persons, groups, or organizations listed under Section 29F are located in another country, it shall, through the Ministry of Foreign Affairs, request that country to freeze such property or funds.
- If such persons, groups, or organizations are later removed from the list, the Ministry of Home Affairs shall, through the Ministry of Foreign Affairs, inform the concerned country to defreeze the frozen property or funds.

❖ Section 29J: Monitoring Arrangements

- National Coordination Committee shall conduct overall monitoring and evaluation of the implementation and effectiveness of actions carried out under this Chapter.
- The concerned ministry shall regularly monitor whether the relevant bodies are effectively implementing the provisions of this Chapter.
- The concerned regulatory body shall regularly monitor whether reporting entities are effectively complying with this Chapter.
- Other monitoring and follow-up procedures shall be as prescribed.

❖ Section 29K: Punishment for Violations

- A regulator may impose sanctions under Section 7V if a reporting entity fails to freeze property or funds as required under Section 29G.
- Departmental action shall be taken against responsible officials of agencies that fail to freeze such property or funds.
- The Ministry of Home Affairs may impose a fine of up to NRs. 1 million on any natural or legal person violating Section 29G.
- If the failure to freeze property or funds is intentional and aimed at supporting money laundering, terrorist financing, terrorists, terrorist groups, organizations, or terrorist acts, a case of terrorist financing may also be filed.
- Provisions relating to tracing, freezing, seizure, investigation, and confiscation of terrorist property or funds under this Act shall also apply to offences under this Chapter where necessary.

Chapter-7 Punishments

Chapter – 7 Punishments

❖ Section 30: Punishment for Offence of Money Laundering or Terrorist Financing

- A person **committing** Money Laundering (ML) under Section 3(1) shall be:
  - ✓ imprisoned from 2 years to 15 years, and
  - ✓ fined twice the proceeds of crime.
- A person involved in **conspiracy to commit** ML shall receive the **same punishment**, while other offences *(aid, abet, facilitate, counsel, attempt, associate with or participate)* under Section 3(2) receive half the punishment of Section 3(1).
- A person **committing** Terrorist Financing (TF) under Section 4(1) shall be:
  - ✓ imprisoned from 7 years to 20 years, and
  - ✓ fined 5 times the proceeds, or up to NRs. 5 Crores if proceeds are not identifiable.
- Offences under Section 4(2), (3), or (4) *(solicit, facilitate, encourage, assist, support, provide resources, accomplice, organize, direct, contribute, promote)* are punishable with half the punishment under Section 4(1).
- If ML or TF is committed through a legal entity, the involved person, official, or staff shall be punished accordingly.
- If the actual offender cannot be identified, the chief of the legal entity during the offence period shall be punished under prevailing law.
- Public servants or reporting entity officials committing ML or TF receive 10% additional punishment.
- A person who fails to prevent an offence under this Act despite having a duty and reasonable grounds to know about it may face imprisonment up to 1 year.
- If a legal person commits ML or TF, punishments may include:
  - ✓ fine up to 5 times the prescribed fine,
  - ✓ prohibition from public procurement,
  - ✓ prohibition from supplying goods/services,
  - ✓ cancellation of license/permission, or
  - ✓ liquidation of the legal entity.
- Any other violation under this Act may result in confiscation of property and an equal fine, or up to NRs. 10 Lakhs if property is not identifiable.
- Beneficial owners involved in offences under this Act shall also be punished accordingly.

CHAPTER - 7 PUNISHMENTS

SECTION 30: PUNISHMENT FOR OFFENCE OF MONEY LAUNDERING OR TERRORIST FINANCING

1 MONEY LAUNDERING (ML) OFFENCE
Section 3(1)



Any person committing ML offence shall be fined **twice the proceeds** and imprisoned from **2 years** to **15 years** as per the gravity of the commission of the act.

2 CONSPIRACY OR OTHER OFFENCES RELATED TO ML – Section 3(2)

Conspiracy to commit ML shall receive the **same punishment** as in Section 3(1).

Other offences under Section 3(2) shall be punished **half** of the punishment in Section 3(1).

3 TERRORIST FINANCING (TF) OFFENCE
Section 4(1)



Any person committing TF offence shall be imprisoned from **7 years to 20 years** as per the gravity of the act and fined **5 times the proceeds,** if it is apparent and fined up to **NRs. 50 million** if such proceeds are not apparent.

4 OTHER OFFENCES RELATED TO TF
Section 4(2), (3) or (4)



Any person committing offence under Section 4(2), (3) or (4) shall be punished **half** of the punishment in Section 4(1).

5 OFFENCE THROUGH LEGAL PERSON OR ARRANGEMENT



If ML or TF offence is committed through or by the use of a legal person, such **person, official, or staff** shall be punished as per Sub-sections (1), (2), (3) or (4).

6 LIABILITY OF CHIEF OF LEGAL PERSON



If the actual person committing the offence is not traced out as per Sub-section (5), the chief of the legal person working during the period of commission of the offence shall be punished as per **prevailing laws.**

7 ENHANCED PUNISHMENT FOR PUBLIC SERVANT OR REPORTING ENTITY OFFICIAL



If a public servant or chief or staff of a reporting entity is found to have committed ML or TF offence, he shall be punished **10% more** of the punishment stipulated in Sub-sections (1), (2), (3) or (4).

8 FAILURE TO PREVENT OFFENCE – 17A



A person who, having reasonable grounds to know that an offence under this Act may be or is about to be committed, and is under an obligation to prevent such offence, but fails to do so, shall be liable to imprisonment for a term which may extend to **1 year.**

9 PUNISHMENT FOR LEGAL PERSON OR ARRANGEMENT COMMITTING ML OR TF OFFENCE

One or all of the following punishments may be awarded based on the gravity of the offence:



a. Fine up to **5 times** the fine stipulated in Sub-sections (1), (2), (3) or (4).



b. Prohibiting **public procurement** by prescribing time limit.



c. Prohibiting subscribing **goods or services** by prescribing time limit.



d. Other penalty as prescribed.



e. Cancel or revoke **license or permission.**



f. **Liquidating** legal person.

10 OTHER VIOLATIONS



Anyone who violates any provision of this Act and rules issued thereunder (beyond Sub-sections (1) to (8)) shall be punished with the **confiscation of property** and a fine **equal to that,** and if the property is not apparent, fine up to **NRs. 1 million.**

11 BENEFICIAL OWNER LIABILITY



If any person is found to be a **beneficial owner** in the offence pursuant to this Act, he shall be punished in accordance with this section.

Chapter – 7 Punishments

❖ Section 30A: Protect the Interest of Innocent Third Parties

- Compensation, revocation of legal entities, or cancellation of licenses/permits under Section 30(8) must protect the economic interests of innocent third parties.
- After revocation of a license or permit, management of the entity's property, liabilities, and related matters shall be handled according to prevailing law.

❖ Section 31: Punishment to the Discloser of Confidentiality

- Any person violating confidentiality under Section 10B(2) or Section 26 shall be punished with:
  - ✓ imprisonment from 1 month to 3 months, or
  - ✓ a fine up to NRs. 1 Lakh or
  - ✓ both.

❖ Section 32: Punishment for Concealing or Destroying Evidences

- A person who conceals or destroys evidence related to offences under this Act shall be punished with:
  - ✓ imprisonment from 1 month to 3 months, or
  - ✓ a fine from NRs. 50,000 to NRs. 100,000, depending on the gravity of the offence.
- A person **assisting** such act shall receive **half of the punishment.**

❖ Section 33: Punishment for Obstruction

- If any person obstructs an investigation proceeding, the adjudicating officer may, based on the investigation officer's report, impose:
  - ✓ imprisonment up to 6 months, and/or
  - ✓ a fine up to NRs. 5,000.

Chapter – 7 Punishments

❖ Section 33A: Punishment for Making Trouble or Harassment

- If a person files a complaint unnecessarily or with the intention of troubling others, the Hearing Officer may, based on the investigation officer's report, impose a fine up to NRs. 10,000.

❖ Section 33B: Not to Investigate or Prosecute Maliciously

- An investigating or prosecuting officer must not conduct investigations or prosecutions maliciously to falsely implicate, harm, harass, or protect any innocent person.
- A person committing or causing such misconduct may face:
  - ✓ imprisonment up to 6 months, and
  - ✓ departmental action according to service laws.

❖ Section 34: Property Related With the Offence of Money Laundering (ML) or Terrorist Financing (TF) to be Confiscated

- Upon conviction for money laundering or terrorist financing, the following shall be confiscated regardless of ownership:
  - ✓ proceeds/property related to the offence,
  - ✓ property used or intended to be used in the offence,
  - ✓ property linked to terrorist acts, terrorists, terrorist groups, or organizations, and
  - ✓ instrumentality used or intended to be used in such offences.
- If the original property or instrumentality cannot be seized due to concealment, disposal, use, consumption, or other reasons, property of equivalent value shall be confiscated.
- The rights and interests of bona fide third parties must be protected during confiscation.
- Property of a bona fide third party shall not be confiscated if:
  - ✓ it is not connected with money laundering or terrorist financing,
  - ✓ it is not proceeds of crime or related instrumentality, or
  - ✓ it was acquired before the offence without knowledge of its illegal use.

Chapter – 7 Punishments

- **Section 34A: Payment of Indemnification**
  - If an offence under this Act causes loss or damage to any person, the offender must provide compensation (indemnification) to the victim for the harm suffered.

- **Section 34B: Paid Compensation**
  - If any person has suffered loss of life or property due to any offence under this Act, the person affected by the offence shall be compensated accordingly.

Chapter-8 Miscellaneous

Chapter – 8 Miscellaneous

❖ Section 35: Assessment of Risk

- Regulatory bodies, investigating agencies, prosecuting bodies, and related institutions must identify and assess risks related to money laundering, terrorist financing, weapons of mass destruction financing, risky technologies, and related activities at least once every year.
- Before assessment, reporting entities must prepare evaluation methods and criteria and submit them to the regulator.
- Regulators may issue necessary instructions if the risk assessment report is not objective or effective.
- Concerned bodies/institutions must conduct field risk assessments and submit reports to the Coordinating Committee.
- Based on these reports, the Coordinating Committee shall prepare national and regional risk assessment reports.
- Institutions must prepare and implement a risk-based annual action plan based on the assessment report.
- Other procedures regarding risk assessment shall be as prescribed.

❖ Section 35A: Details of Beneficial Owners

- Any person investing 15% or more shares or capital, directly or indirectly, in a company, cooperative, firm, partnership, or other legal entity must disclose details of the beneficial owner to the registering/licensing authority.
- Without such disclosure, the authority shall not register or license the legal entity.
- Legal entities established through such investment cannot issue bearer shares or similar financial instruments. Foreign entities issuing such instruments under foreign law must inform the concerned registering and regulatory bodies.
- A person who fails to disclose, provides false information, or hides the real beneficial owner may be fined from NRs. 10 lakh to NRs. 50 lakh, and the matter shall be reported to the FIU and concerned investigating authority.
- Legal entities must maintain and regularly update beneficial ownership records for 5 years after the person ceases to be a beneficial owner and provide them upon demand.
- Registering and regulatory bodies must also keep such records for at least 5 years after dissolution of the legal entity.
- Existing legal entities at the commencement of this section must submit beneficial ownership details within 1 year.

Chapter – 8 Miscellaneous

❖ Section 35B: Details of Those Who Control or Receive Financial Benefits

- Domestic or foreign legal arrangements must maintain updated details of:
  - ✓ persons controlling the arrangement,
  - ✓ persons receiving major economic benefits, and
  - ✓ persons providing financial, accounting, tax, investment, or agency services,

  and submit consolidated details to the concerned regulatory body.
- Persons managing or controlling the legal arrangement must also disclose client-related details to the reporting entity.
- Any change in details must be immediately reported to the regulatory body.
- The regulator may impose a fine up to NRs. 1 lakh for:
  - ✓ failure to provide details,
  - ✓ providing false information, or
  - ✓ failure to provide information to the reporting entity.
- Existing legal arrangements must submit required details within 1 year from commencement of this section.
- Records must be preserved for at least 5 years after a person ceases to be part of the legal arrangement.

❖ Section 35C: Keep the Details

- Legal persons must publicly disclose and update details such as:
  - ✓ name and address,
  - ✓ registration and license details,
  - ✓ legal status and jurisdiction,
  - ✓ governing laws, and
  - ✓ identity of office bearers, board members, or committee members.
- If a legal person has a beneficial owner under Section 35A, details of such beneficial owner must also be disclosed when becoming a client of a reporting entity.
- Failure to update/publicly disclose information or disclose beneficial ownership details may result in a fine from NRs. 5 lakh to NRs. 50 lakh by the regulator or registering authority.

Chapter – 8 Miscellaneous

❖ Section 35D: Non-Profit Organisation or Regulatory Body

- Bodies regulating or registering non-profit organizations (NPOs) must take measures to prevent use of NPOs for:
  - ✓ money laundering,
  - ✓ terrorist financing, or
  - ✓ financing the proliferation of weapons of mass destruction.
- Such bodies must:
  - ✓ ensure transparency and credibility of NPOs,
  - ✓ identify beneficiaries,
  - ✓ assess and manage risks,
  - ✓ monitor and supervise based on risk, and
  - ✓ report suspicious transactions to the Financial Information Unit (FIU).
- Regulators may issue necessary directions to NPOs, and compliance with such directions is mandatory.
- If an NPO fails to comply, the matter shall be referred to the regulator or registering authority for action.
- Non-compliance may result in:
  - ✓ a fine up to NRs. 5 lakh for the first offence, and
  - ✓ up to NRs. 10 lakh for repeated non-compliance.

❖ Section 35E: Submission of Report

- Banks, financial institutions, insurance companies, casinos, securities institutions, commercial real estate businesses, savings and credit cooperatives, and other reporting entities designated by the Government of Nepal must undergo annual compliance audits under this Act.

Chapter – 8 Miscellaneous

❖ Section 35E: Submission of Report

- The audit shall examine:
  - ✓ policies, systems, controls, and technical structures,
  - ✓ risk assessment and risk-based systems,
  - ✓ implementation of annual action plans and reporting systems,
  - ✓ identification and correction of weaknesses, and
  - ✓ other matters determined by the regulator.
- The audit must be completed and reported within 6 months after the end of the financial year.
- If the regulator is not satisfied with the report or considers further review necessary, it may conduct or order a detailed inspection of the reporting entity at any time.

❖ Section 35F: List of Maintenance

- A person wishing to work as a compliance examiner must apply to the Financial Information Unit (FIU) with the prescribed documents and details for listing.
- After necessary verification, the FIU shall list and inform the applicant if found qualified under Section 35G.
- If the applicant is not eligible for listing, the FIU must provide the grounds and reasons.
- A listed compliance examiner who no longer meets the qualifications under Section 35G shall be removed from the list by the FIU.

❖ Section 35G: Qualifications of the Controller

- To be listed as a compliance examiner, a person must have:
  - ✓ a Master's degree, Chartered Accountancy qualification, or qualification in economics, law, management, public finance, or financial management, and
  - ✓ at least 5 years' experience in anti-money laundering (AML), counter-terrorist financing (CFT), economic, financial, or management fields.
- Have received prescribed training related to prevention of money laundering and terrorist financing.
- Not be disqualified under Section 35H.

Chapter – 8 Miscellaneous

❖ Section 35H: The Examiner is Ineligible

- A person is ineligible to be listed as a compliance examiner if he/she:
  - ✓ is not a Nepali citizen,
  - ✓ has defaulted on loans in Nepal or abroad,
  - ✓ has not completed 5 years since loan default settlement,
  - ✓ is a director, officer, or employee of a reporting entity, regulator, or investigating body,
  - ✓ has personal or financial interest in the concerned entity,
  - ✓ has unpaid taxes,
  - ✓ has been convicted of money laundering, terrorist financing, or other serious offences, or
  - ✓ is imprisoned due to non-payment of fines.
- Holding less than 1% shares, or acting only as a legal adviser or auditor, shall not be considered a disqualifying personal or financial interest.
- In special circumstances, reporting entities or regulators may conduct special compliance tests or risk assessments through domestic or foreign experts.
- Before conducting a compliance test, the compliance examiner must independently review the institution's risk assessment, and regulators must be informed if foreign experts are involved.

❖ Section 35I: Duties, Rights and Responsibilities of Supervisor

- Accessing all records, documents, and information of the reporting entity.
- Obtaining necessary information from officers and employees of the institution.
- Following instructions or guidelines issued by the Financial Information Unit (FIU) and regulatory body during inspection.
- Exercising powers similar to those of an external auditor under prevailing law.
- Submitting inspection reports:
  - ✓ to the Board of Directors or head of the institution,
  - ✓ long-form reports to the regulator, and
  - ✓ reports on transactions above prescribed limits and suspicious transactions to the FIU.
- Inspection reports must be submitted within 1 month after completion of the annual inspection.
- Performing other functions as prescribed regarding inspection activities.

Chapter – 8 Miscellaneous

❖ Section 36: Property or Instrumentality to Be Released

- If property or instrumentality frozen under Section 18 is later found not to have a criminal origin:
  - ✓ the Department (before filing a case), or
  - ✓ the court (after a case is filed)
- shall order the concerned authority to release the frozen property or instrumentality, and the authority must comply with the order.

❖ Section 37: Not to be Liable for Providing Information

- Staff or officials of reporting entities shall not be considered to have violated professional or financial confidentiality laws when performing duties in accordance with this Act.
- No criminal, civil, disciplinary, or administrative action shall be taken against government agencies, reporting entities, or their officials/staff who, in good faith, submit reports, documents, information, notices, or records as required under this Act, rules, or directives, even if such disclosure would otherwise breach secrecy or confidentiality obligations.

❖ Section 38: Auction to be Made

- Seized goods related to offences under this Act may be auctioned according to prevailing law if they:
  - ✓ are likely to rot, deteriorate, break, or lose value over time, or
  - ✓ cannot be properly stored due to lack of space.
- The amount received from the auction shall be deposited safely, and if the goods are later ordered to be returned, the owner shall receive the auction proceeds.

❖ Section 39: Departmental Sanction to the Staff involved in Investigation and Inquiry

- If any investigation officer or staff of the Department acts with malicious intent to harass or trouble a person during investigation or inquiry under this Act, departmental action shall be taken by:
  - ✓ the concerned Ministry Secretary if the accused is the Department Chief, or
  - ✓ the Department Chief in other cases,

  regardless of provisions in prevailing laws.

Chapter – 8 Miscellaneous

- **Section 40: Provisions Relating to Delivery of Notice**
  - Summons to a foreign national under this Act may be served through their office or representative in Nepal, and such service shall be considered legally valid.
  - If no office or representative exists in Nepal, summons may be sent to the person's business address, permanent address, or mailing address through telecommunication or registered mail, and it shall still be treated as duly served.
  - If any treaty involving Nepal provides a special procedure for serving summons to foreign nationals, that treaty procedure shall prevail.
- **Section 41: Notice to be Published**
  - If a notice or summon cannot be served because the person's address is unknown or for any other reason, a brief notice of the case shall be published at least twice in a national newspaper (English daily for foreign nationals), requiring the person to appear within 30 days before the investigating or adjudicating authority.
  - Such publication shall be considered valid service of notice, notwithstanding prevailing laws.
- **Section 42: Interpretation of Intention**
  - The knowledge, intention, or purpose of a person accused of money laundering or terrorist financing may be determined from objective factual circumstances and evidence.
- **Section 43: No Obstruction to Adjudication and Settlement Proceedings**
  - Notwithstanding prevailing laws, the death of a suspect before or after filing of charges shall not prevent the adjudication and settlement of a case under this Act
- **Section 44: Waiver of Penalty**
  - An accused person who cooperates in investigation and inquiry may be presented as a prosecution witness and may receive full or partial waiver of punishment.
  - However, a case may be refiled against such person if:
    - ✓ the cooperation is not supported by other evidence, or
    - ✓ the accused later gives a statement contrary to the cooperation provided during investigation.

Chapter – 8 Miscellaneous

❖ Section 44A: Information or Particulars not to be Disclosed

- Reporting entities and their officials/staff must not disclose to customers or others that reports, documents, notices, or information related to suspicious transactions, threshold transactions, ongoing monitoring, or money laundering/terrorist financing investigations have been submitted.
- The identity of reporting entities, FIU officials, investigators, or persons providing such information must remain confidential and cannot be disclosed, even during judicial proceedings.
- Violations of confidentiality provisions may result in:
  - ✓ fines up to NRs. 10 lakh for banks, financial institutions, or casinos,
  - ✓ fines up to NRs. 2 lakh for other designated non-financial businesses/professions, and
  - ✓ departmental action against responsible officials or staff of reporting entities, the Department, investigation bodies, or the FIU.

❖ Section 44B: Confidentiality Provision

- Notwithstanding prevailing laws, confidential documents, records, notices, or information shall not remain confidential from the Department or Financial Information Unit (FIU) when required for duties under this Act.
- Concerned agencies, officials, or persons must provide such documents or information upon request by the Department or FIU specifying the purpose.
- Investigation officers and the FIU must maintain confidentiality of the received documents, records, details, and information, and other procedures shall be as prescribed.

❖ Section 44C: Transaction With Financial Institutions or Banking Institutions

- Government of Nepal may require certain high-value purchases, sales, or transactions to be conducted only through:
  - ✓ Financial institutions, or
  - ✓ Banking instruments.
- Such transactions must be made through non-cash methods as notified in the Nepal Gazette.

Chapter – 8 Miscellaneous

- **Section 44D: Nominal Expenses may be allowed**
  - If all assets of a person are frozen during ML/TF investigation or trial, and the person or dependents have no other source of livelihood, the court may order partial release of assets for basic living expenses.
  - The Department/Investigating Office must comply with the court's order and release the required amount/property.

- **Section 44E: Processing Records by Computer as Evidence**
  - Electronic records and data are admissible as evidence unless proven otherwise.
  - Procedures for handling and analysing such records shall be prescribed.

- **Section 44F: Information to be Provided to the Ministry of Foreign Affairs**
  - Department, Regulator, or FIU must immediately inform the Ministry of Foreign Affairs after signing an MoU with a foreign counterpart.

- **Section 44G: Creating Standards**
  - GON may apply necessary procedures for international cooperation and assistance in financial crime matters beyond formal mutual legal assistance provisions.

- **Section 44H: Report to be Submitted**
  - **Annual Reporting Requirements**
    - ✓ Reporting Entities must submit annual activity reports to the Regulator within 2 months after the financial year ends.
    - ✓ Regulators, investigation bodies, and related agencies must submit annual reports to the Coordination Committee within 3 months through the concerned Ministry.
    - ✓ Regulators must include a summary of Reporting Entity reports.
    - ✓ Coordination Committee prepares a consolidated annual report for the Board of Directors.
    - ✓ Board submits the final report to the Government of Nepal, which then presents it to the Federal Parliament.

Chapter – 8 Miscellaneous

❖ Section 45: Reward

- A person who files a complaint, provides information, or assists in investigation/evidence collection may receive a reward if the allegation is proven.
- **Reward amount:**
  - ✓ 10% of the claimed value, or
  - ✓ NRs 1 million, whichever is lower.
- If **multiple persons assist**, the reward shall be **distributed proportionately**.

❖ Section 46: Rules May be formulated

❖ Section 47: May release directions/ regulations

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